

Bill Collection (Insurance Premiums)

Standard Operating Procedure

Document Reference	SOP-INS-003
Version	1.3
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Owner	Collections — Finance Department
Approved By	Finance Director
Classification	Internal Use Only
Applicable To	All outstanding insurance premium balances across personal and commercial lines

1. Purpose

This SOP defines the process for collecting outstanding insurance premiums from individual and commercial policyholders. It establishes a structured, compliant, and customer-focused collections workflow to minimise premium arrears, reduce policy lapse rates, and protect Meridian Insurance Group's revenue base while maintaining policyholder relationships.

2. Scope

This procedure applies to:

- Overdue instalments on active policies (30, 60, and 90-day arrears)
- Dishonoured direct debit payments and returned cheques
- Reinstatement premium collection following a lapse notice

This procedure does NOT cover: employee expense reimbursements, reinsurance premium disputes, or broker commission clawbacks.

3. Roles and Responsibilities

Role	Responsibilities
Collections Analyst	Monitors daily arrears report; initiates outbound contact at each arrears milestone; records all contact attempts and outcomes in CRM; processes payments received via inbound channel.
Collections Investigator	Handles complex or high-value arrears cases; investigates disputed balances; coordinates with Underwriting on reinstatement eligibility; recommends write-off where applicable.
Credit Investigator	Assesses policyholder creditworthiness for instalment plans; approves extended payment arrangements; escalates to external agency where internal collection has failed.
Agent / Broker	Supports collection outreach for their own book of business; notifies Collections of policyholder hardship situations; facilitates payment arrangements.

4. Pre-requisites and Triggers

This process is triggered automatically by the billing system when a premium payment is not received by the due date. The arrears workflow activates at T+1 business day after the missed due date.

5. Process Steps

5.1 Initial Arrears Identification (T+1 to T+7 days)

#	Activity	Responsible	Output / Notes
1	Billing system flags overdue account	Billing System (auto)	Arrears record created; Collections queue updated; policy status set to 'Overdue'

#	Activity	Responsible	Output / Notes
2	Automated payment reminder sent to policyholder	CRM / Email Engine	Email and SMS reminder dispatched; includes outstanding amount, due date, and payment link
3	Collections Analyst reviews arrears queue	Collections Analyst	Verifies outstanding balance, payment history, and contact preferences
4	Outbound call attempt (if no response by T+5)	Collections Analyst	Maximum 2 call attempts per day; outcome recorded in CRM

5.2 Escalated Arrears (T+8 to T+30 days)

#	Activity	Responsible	Output / Notes
5	Formal written notice of arrears issued	Collections Analyst	Letter and email: outstanding amount, consequences of non-payment, 14-day cure period
6	Policyholder contact re: payment plan (if hardship indicated)	Collections Analyst	Instalment plan offered for balances above SGD 500; plan approved by Credit Investigator
7	Case escalated to Collections Investigator if no response	Collections Analyst	Escalation triggered at T+21; investigator reviews and intensifies outreach
8	Lapse notice issued (T+30 if unresolved)	Collections Investigator	Formal lapse notice per SOP-INS-011; 7-day final cure period stated

5.3 Resolution or Write-Off (T+31 onwards)

#	Activity	Responsible	Output / Notes
9	Payment received — policy reinstated	Collections / Billing	Payment applied; policy status reset to 'Active'; reinstatement endorsement issued if lapse occurred
10	No payment — policy lapsed and coverage ceased	Collections Investigator	Policy lapsed per SOP-INS-011; policyholder notified in writing; balance referred to Credit Investigator
11	External agency referral (balances above SGD 1,000 at T+60)	Credit Investigator	Debt file passed to approved external collections agency; internal case closed
12	Write-off recommendation (T+90 if uncollected)	Credit Investigator	Write-off request submitted to Finance Director for approval; GL adjustment processed

6. Decision Points and Exception Handling

6.1 Disputed Balance

- Collections Analyst escalates dispute to Collections Investigator within 1 business day
- Investigator reviews policy records and payment history; responds to policyholder within 5 business days
- If dispute is valid: billing system corrected; adjusted statement issued; collections activity suspended pending resolution

6.2 Policyholder Financial Hardship

- Hardship application submitted by policyholder to Collections Analyst
- Credit Investigator assesses application within 3 business days; approves extended plan up to 6 months
- Hardship arrangements must not result in total premium reduction; only timing is adjusted

6.3 Deceased Policyholder

- Collections activity suspended immediately upon notification of death
- Case transferred to Claims (estate recovery) and Legal; no external agency referral

7. Systems and Tools

System / Tool	Purpose	Access
Billing System (Sapiens)	Arrears identification, payment application, lapse triggering	Collections, Finance
CRM (Salesforce)	Contact history, outreach scheduling, case management	Collections Analyst, Investigator
Dialler (NICE CXone)	Outbound call management, recording, and compliance logging	Collections Analyst
SAP S/4HANA	GL write-off postings, bad debt provisions	Finance, Credit Investigator
External Agency Portal	Debt file upload and status tracking for referred accounts	Credit Investigator

8. Key Performance Indicators

- 30-day collection rate: Minimum 80% of overdue accounts resolved within 30 days of first arrears date
- Lapse rate due to non-payment: Below 2.5% of active policy portfolio per month
- Payment plan compliance rate: Minimum 85% of approved plans completed without further default
- External agency referral rate: Below 5% of arrears cases escalated to external agency per month
- Write-off rate: Below 0.3% of total annual premium written

9. Related Documents

- SOP-INS-002: Premium Accounting
- SOP-INS-011: Policy Cancellation and Lapse
- POL-FIN-002: Premium Collection and Billing Policy

- POL-LEGAL-003: Debt Recovery and Write-Off Policy

10. Document Control and Revision History

Version	Date	Author	Summary of Changes
1.0	01 Jun 2022	T. Reyes, Collections	Initial release
1.1	15 Jan 2024	T. Reyes, Collections	Added hardship protocol; updated escalation thresholds
1.2	01 Sep 2024	K. Sharma, Finance	Integrated NICE CXone dialler; revised external agency referral criteria
1.3	01 Mar 2025	K. Sharma, Finance	Added deceased policyholder exception; aligned write-off to DOA matrix